Q12

- The payback criterion does not make a full allowance for the time value of money [1]
- or for risks and rewards associated with cash flows after the payback period has elapsed [1]
- The criterion is not, therefore, necessarily consistent with the basic criterion of maximising shareholder wealth [1]

- Despite that, it is realistic to suggest that a project that has a short payback period is likely to have a positive NPV and so it may be a satisfactory basis for identifying satisfactory projects [1]
- ABC may also operate in a relatively low-risk industry and so have a low required rate of return on projects, in which case there is less risk of payback being misleading [1]
- The fact that the criterion has been used for many years does not, in itself, mean that it has been successful. For example, the company could have invested in a number of negative NPV projects without that ever being noticed [1]
- The company will also be unaware of the opportunity cost of investing in projects that had lower NPVs than alternatives that could have been selected instead [1]

[6, Max 5]

There were many excellent answers to this question. A few candidates gave very generic answers on why payback was poor or why NPV was a better method these answers did not gain high marks but usually passed.